OwnTheBlock

The full playbook: fixes, operating plan, money, questions and next steps

This document covers OwnTheBlock from start to finish: how a property is found, bought and owned through an LLC; where the blockchain fits; who is involved; how everyone makes money and how long it takes; what judges will ask; and what to build next.

Prepared Nov 2, 2026 for the case competition · Based on the Master Build Prompt & Product Spec (Oct 24, 2026) and the app in `~/owntheblock`

> **Read this first.** All dollar figures are estimates for planning and pitching. Tax rates, insurance costs and Reg CF rules must be confirmed with a securities attorney and a CPA before any real money is involved. Items marked "verify" are the most important ones to check.

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1. The verdict in one page

What's strong

- A clear, emotional story (Ms. Jenkins, the eyesore next door, HBCU neighborhoods).
- The Block Simulator: every number links to its formula, risk events show payouts dropping, 43 automated tests pass.
- Honesty built in: on-chain vs off-chain labels, "estimates, not guarantees," downside cases.
- A real legal path (Reg CF + one LLC per asset) instead of hand-waving.
- The Charter concept: "the community decides, the code enforces."

What will hurt you

- **No blockchain is running yet.** It's a crypto competition, and every transaction hash in the app is pretend.
- **The returns are overstated.** With every real cost included, the spec's house earns about 3.5% a year, not 8.7%.
- **Rent-to-own math fails.** It uses up the whole platform fee, and the tenant needs 88 years to reach a down payment.
- **The barbershop deal is about 20% APR.** That's hard to square with "no predatory loans."
- **Legal conflicts:** a smart-contract escrow, the Neighborhood Fund under Reg CF, and a peer-to-peer marketplace.
- **No outside validation:** no real residents, owners or partners yet.

The one insight that fixes the economics

Don't buy houses at full price. Rescue distressed houses below their repaired value.

At full price, a $10 token is worth about **$8.55 on day one** after closing and offering costs. That leaves investors earning **~3.5% a year**, less than a savings account.

Buy a boarded-up house for $90k, put $35k into repairs, and it's worth about $150k. Day-one value becomes **~$10.63 per $10 token**, and the return rises to **~8.7% a year**.

The social mission and the investment math point the same way: fixing eyesores is where the money is made. Make "Rescue the Eyesore" the core model, not a side feature.

The three changes to make before you present

1. **Put real transactions on Base Sepolia.** Deploy at least the token, the raise, the payout contract and test USDC, and show one buy and one claim on the block explorer.
2. **Replace the spec's returns with the honest model (Section 8).** Lead with the distressed-home case and show the full-price case as the reason you don't buy retail.
3. **Fix rent-to-own and the business terms (Sections 9 and 13).** Use a lease-purchase option and a 1.25×–1.3× cap.

2. Fix list: what to change, in priority order

P0 = fix before presenting · P1 = fix or have a ready answer · P2 = improve when time allows. "Where" says whether the fix is in the pitch/doc, the app code, or the real-world plan.

#	Problem	Why it matters	Fix	Where	
1	No smart contracts, wallet or testnet transactions	The competition is about blockchain. Spec §4.5 and the demo script promise a live testnet buy.	Build Milestone 3 (minimum version): token, raise, payout contract, test USDC on Base Sepolia. Add a "Live testnet" toggle (Section 14).	App	P0
2	Not deployed; no public link	Judges can't open it on their phones.	Deploy to Vercel. Put a QR code on your title slide.	App	P0
3	Raise budget leaves out closing, legal, CPA, portal and the 3% fee	$150k turns into ~$175.5k, and yield drops from 6.8% to ~3.6%.	Use full sources and uses (Section 8). Show the day-one token value honestly.	Doc + app (`lib/finance`, `lib/demo.ts`)	P0
4	Rent-to-own uses the entire platform fee or breaks the reserve rule; 88 years to a down payment	The Tasha persona falls apart under one question.	Replace with a lease-purchase option plus a down-payment credit (Section 13, idea 4).	Doc + app (Me tab, Impact)	P0
5	Barbershop note is ~20% APR	Contradicts "no predatory loans."	Cap at 1.25×–1.3× with 4–5% of revenue (~12–17% APR). Compare against merchant cash advances, not SBA loans.	Doc + app	P0
6	The escrow smart contract conflicts with Reg CF	Reg CF requires a bank or broker-dealer escrow.	Dollars go to the portal's escrow bank. The contract records commitments and mints tokens at closing (Section 4).	Doc + contracts	P1
7	The Neighborhood Fund holds other LLCs' tokens	A fund holding securities is likely an investment company, and those can't use Reg CF.	Make it a "Block Fund LLC" that **owns houses directly**, not tokens (Section 13, idea 1).	Doc	P1
8	A peer-to-peer marketplace after 12 months	Running an order book without registration is an unregistered exchange.	Phase 1: no marketplace. Phase 2: partner with a registered trading platform (an ATS). Meanwhile, offer limited buyback windows from the fund.	Doc + app copy	P1

9	Treasury multisig: the manager plus OwnTheBlock can spend without the community	Undercuts "community control."	Require the steward's signature on every spend, or use 3-of-5 with two elected resident reps. Large spends wait 7 days.	Contracts + doc	P1
10	Rules contradict each other: 10% vs 2% caps, per-wallet vs per-identity, and Structure C's 53% family stake	Judges who read the doc will notice.	One rule: caps are per verified person. Contributing heirs get a stated exception approved in the Charter.	Doc	P1
11	"Affordable" metric (30% of AMI) is too easy to pass; 86% of market is a fixed number in the code	"Affordable to whom?"	Measure against the *neighborhood's* median income. Compute rent vs market from data. Remove fixed numbers in `lib/world/index.ts:621-661`.	App + doc	P1
12	Investors profit from rising rents and from selling at market value	Looks like gentrification with a cut for locals.	The default exit is a sale to the tenant, a land trust or the community at appraisal, with a deed restriction. Rent caps also apply when a new tenant moves in.	Doc + Charter	P1
13	One K-1 per investor per LLC for $0.68 of income	The tax paperwork costs more than the income.	Pooled fund (one tax form per person). Ask a CPA about a REIT election for 1099-DIV forms instead.	Doc	P1
14	The simulator assumes only 40% of investors are local (`RESIDENT_SHARE = 0.4`)	Contradicts "the community owns it."	Show the local share honestly and add the 51% local floor as a Charter option that blocks outside buys.	App	P1
15	No named first-loss partner	It's the answer to business failure.	Name target types: bank investments that count toward its Community Reinvestment Act (CRA) obligations, foundation impact investments, city housing funds. Get one letter of interest.	Real world	P1
16	All fictional data and placeholder names (Sample St, Placeholder Ln)	Feels like a class project.	Rename to believable fictional streets. Add one real validation item: a survey, an LOI or a partner meeting.	App + pitch	P1
17	Fund tokens always show $10; homes gain 3% a year automatically	"Where does that value come from?"	Compute NAV per spec §6.3. Value homes from the last appraisal and label them as estimates.	App (`lib/world/index.ts:599`)	P2

18	Missing features: Spanish, governance proposals, Charter screen, Pitch Board posting, admin, owner dashboard	The spec promises them.	Build the Charter screen and the proposal flow first, since they back your best answers.	App	P2
19	Lost phone, death of an investor, unbanked users	Real-life gaps.	Passkey backup plus identity-verified recovery, a named beneficiary, a cash deposit partner.	Doc + app	P2
20	The learning discount applies to "platform fee" in §3.7 but to the trading fee in §6.8	Small inconsistency.	Pick one: a discount on the trading fee, or bonus points.	Doc	P2

3. The operating plan, start to finish

This is the whole life of one house, in order. Each phase lists what happens, who does it, whether it's on-chain or off-chain, how long it takes and what it costs. The example house is **310 Demo Ct**, a boarded-up home. Rename it to a believable street before the pitch.

```
PHASE 0  Set up the company and partners            (once, months 0–3)
PHASE 1  Find the property                              (week 0)
PHASE 2  Vet it: title, appraisal, inspection, bids     (weeks 1–8)
PHASE 3  Form the LLC, write the Charter, sign deal     (weeks 6–10)
PHASE 4  File the offering and open the raise           (weeks 10–20)
PHASE 5  Close the raise and buy the house              (weeks 20–24)
PHASE 6  Renovate in stages                             (months 6–9)
PHASE 7  Lease up and collect rent                      (month 9 →)
PHASE 8  Pay investors every month                      (month 10 →)
PHASE 9  Govern, report, pay taxes                      (ongoing)
PHASE 10 Exit: tenant buys, community holds, or sale    (year 3–10)
```

Phase 0. Set up the company and partners (once)

Step	What	Who	Cost (estimate)
0.1	Form **OwnTheBlock Inc.** (a public benefit corporation is a good fit for the mission). It is the sponsor and manager, not the owner of the houses.	Founders + attorney	$1–3k
0.2	Hire a **securities attorney** to design the LLC template, operating agreement, token terms and Charter presets, and to review fair-housing issues.	Attorney	$15–40k first deal; less after (look for pro bono clinics)
0.3	Sign with a **registered Reg CF funding portal** (or broker-dealer) that will host offerings and run the escrow bank.	Portal	~5–8% of each raise (verify)
0.4	Sign with a **registered transfer agent** that accepts blockchain records as the official owner list.	Transfer agent	$1–5k/yr per issuer (verify)
0.5	Choose a **property manager** (licensed NC broker) for leasing, rent collection and repairs.	PM company	8% of rent
0.6	Line up **first-loss capital**: a bank's CRA investment, a foundation, the city. They absorb the first 10% of losses.	Partners	Their capital
0.7	Recruit **stewards**: a neighborhood association, church, CDC or land trust that holds a governance seat.	Community	—
0.8	Set up KYC (Persona), Coinbase Developer Platform (wallets, paymaster, onramp) and Pinata/IPFS.	Tech team	Free tiers to start
0.9	**Validate with residents**: survey 50+ people, hold 2 block meetings, get letters of interest from 1 homeowner/heir family and 1 business.	Founders	Time

Phase 1. Find the property

- **Neighbors flag it** in the app ("Flag an eyesore": photo + address), or **stewards bring it** (land bank, city vacant-property list, church members, estate attorneys).
- OwnTheBlock staff pull public records: owner of record, tax status, liens, code violations, and probate status if the owner died.
- Screening rule: the after-repair value (ARV) must exceed all-in cost by at least 10%. If it doesn't, the deal doesn't proceed.
- Off-chain The flag and the community upvotes can be recorded in the app. Optionally, post a hash of the flag on-chain to timestamp it.

Phase 2. Vet it (weeks 1–8)

Check	Who	What it answers	Typical cost
Title search and title commitment	Title company / closing attorney	Who legally owns it? Any liens, judgments or missing heirs?	$300–800
Independent appraisal (as-is *and* after-repair)	Licensed appraiser	Sets the price. **Rule: never pay above as-is appraised value.**	$400–700
Home inspection + sewer/roof if needed	Licensed inspector	What's broken.	$400–900
Two contractor bids	Licensed contractors (local first)	Repair budget. Use the higher bid + 15% contingency.	Free
Rent study	Property manager	Realistic rent and how fast it will rent.	Free
Insurance quote (vacant + landlord)	Insurance agent	Must be bound before closing.	Quote

Everything goes into the project's **document room** on the app. Each file's fingerprint (hash) is stored on IPFS and on-chain, so no one can quietly swap a document later. Both

Phase 3. Form the LLC, write the Charter, sign the deal (weeks 6–10)

1. Form **"310 Demo Ct LLC"**, or a new series inside a pooled Block Fund LLC (recommended; see Section 13). OwnTheBlock Inc. is the **manager**. Investors are **members**. The steward holds a governance seat with a "golden share" veto over affordability rules.
2. The **operating agreement** says the official list of members is kept by the transfer agent, which mirrors the on-chain token registry. **1 token = 1 membership unit.**
3. The neighborhood's **Charter** is attached: who can invest, caps, local floor, voting, rent cap, reserve, exit rules.
4. Sign a **purchase agreement** with the seller, contingent on the raise succeeding. The seller agrees to wait 90–120 days to close. A small refundable deposit ($1–2k, paid from OwnTheBlock's operating funds) holds the deal.
5. On-chain Deploy the asset's contracts: AssetToken, Raise, Treasury, Distributor, and RulesRegistry entries from the Charter.

Phase 4. File the offering and open the raise (weeks 10–20)

1. The attorney prepares **Form C**: business plan, risks, use of funds, financials (CPA-reviewed if the raise is above about $124k; verify current thresholds), and the operating agreement. It's filed with the SEC.
2. The offering goes live on the **partner portal** and is mirrored in the OwnTheBlock app. Reg CF requires it to be public for at least 21 days before any sale is final.
3. **Tier windows** (or the Charter's own rules): days 1–7 zip-code residents, days 8–14 students and alumni, day 15+ any verified U.S. investor.
4. Investors sign up (email or phone + passkey), pass KYC, take the 5-question risk quiz, and **commit** $10 or more. Money goes to the **escrow bank**. On-chain The Raise contract records each commitment (amount, tier, timestamp) with no personal data.
5. Investors may **cancel up to 48 hours before the deadline** (Reg CF right). The app needs a Cancel button.
6. Protections: the $2,500 yearly limit for most people (Reg CF; higher for higher incomes), a 24-hour cooling-off on a first investment over $100, and a check-in if someone invests more than 10% of their stated monthly income.

Phase 5. Close the raise and buy the house (weeks 20–24)

1. **Goal not met by the deadline:** the escrow bank returns every dollar. The Raise contract marks all commitments refunded. On-chain
2. **Goal met:** the escrow bank releases funds to the LLC's bank account. Tokens are minted to every investor's wallet in one transaction. On-chain The transfer agent records the same owner list. Off-chain
3. **Closing:** North Carolina uses attorneys for closings. The attorney pays off liens and back taxes from the purchase price, the seller signs the deed, and the deed is recorded at the Guilford County Register of Deeds in the LLC's name. Off-chain
4. The recorded deed, closing statement and insurance policy are uploaded. Their hashes are posted to the Money Trail. Both

Phase 6. Renovate in stages (months 6–9)

- Repair money sits in the LLC's Treasury, either as USDC (multisig) or in a bank account with its balance mirrored.
- Pay contractors in **3–4 draws**: demolition/rough-in, systems, finishes, final. Each draw needs an invoice, inspection photos and two signatures (manager + steward). On-chain Treasury.spend(to, amount, memo) with the document hash.
- **Overruns:** paid from the 15% contingency first. Beyond that, the community votes: pause, cut scope, or a small follow-on raise.
- Hire local contractors first. This counts as an impact metric.

Phase 7. Lease up and collect rent (month 9 →)

- The property manager markets the home, with first notice to neighborhood families and existing tenants on the block. Tenant screening follows **fair-housing law**: written criteria applied the same way to everyone. No investor or neighbor picks the tenant.
- Offer the **lease-purchase option** (Section 13, idea 4) at move-in.

- The tenant pays rent in dollars (ACH, card or cash at a partner location). Off-chain Rent is optionally reported to credit bureaus.
- **Late rent:** a hardship fund and payment plan first, mediation second, eviction only as a last resort, with the steward informed. Publish this policy.

Phase 8. Pay investors every month (month 10 →)

1. The PM sends a monthly report: rent collected, each expense, reserve added. It's uploaded, and its hash stored.
2. Net cash is converted to USDC and deposited into the **Distributor** contract with the report hash. On-chain
3. Each token holder's share becomes claimable. Holders tap **Claim** (gas paid by OwnTheBlock) or turn on auto-claim/auto-reinvest. They can cash out to a bank through Coinbase Offramp.

Phase 9. Govern, report, pay taxes (ongoing)

- Proposals: repairs above the reserve limit, rent changes within the cap, sell/hold, refinance. Votes are on-chain through CommunityGovernor with the Charter's weights.
- Charter changes need a 2/3 supermajority and a 30-day wait (timelock). On-chain
- Annual: Form C-AR (Reg CF annual report), NC annual report, tax return. Investors get a **K-1** (partnership), or a 1099-DIV if a REIT structure is used. The app exports earnings history.
- Quarterly: a public transparency page with income statement, reserve balance, governance history and impact metrics.

Phase 10. Exit (year 3–10)

Exit	How it works	Why it's good
1. Tenant buys (preferred)	The tenant uses the lease-purchase option at the preset price, using the down-payment credit plus NC down-payment help. Investors are paid out.	The tenant becomes a homeowner, investors get liquidity, and the home stays local.
2. Community holds	Keep renting long term. Investors keep monthly income. Members trade later through a registered platform.	Lasting affordable housing.
3. Sale to a mission buyer	A land trust, CDC or another OwnTheBlock fund buys at appraisal with a deed restriction.	Stays affordable even after the sale.
4. Open-market sale	Needs a 2/3 vote. The tenant and community get right of first refusal first.	Last resort; maximizes investor return.
5. Family buy-back (Structure B)	The heirs repurchase at the preset price within 5 years.	Keeps the family tie.

4. How the blockchain fits, step by step

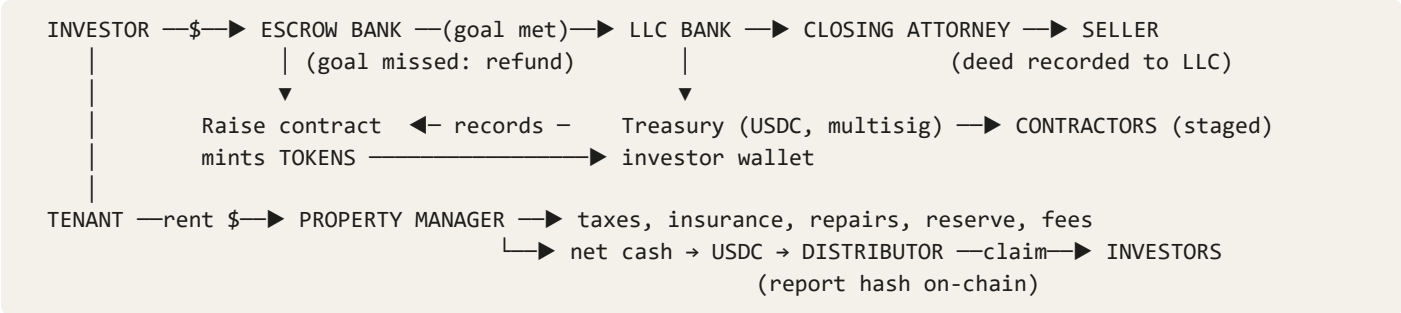
The honest answer to "why blockchain?": **the blockchain is the shared, public record and the rule-enforcer. The real world is proven with documents.** Here's exactly where each piece lives.

Step	On or off chain	Contract / system	What the blockchain adds
Identity check	Both	Persona (off) → **IdentityRegistry** (on): wallet, tier, hashed zip code only	Rules (caps, tiers) can be enforced by code without exposing personal data.
Commit money to a raise	Both	Escrow bank holds dollars (off) → **Raise** records commitments (on)	Public, real-time proof of how much is raised and from which tiers. No fake "almost funded" claims.
Raise succeeds / fails	On	**Raise.finalize()** mints tokens, or marks refunds	Everyone can see the outcome. Refund status can't be hidden.
Ownership record	Both	**AssetToken** (ERC-3643-style permissioned token) mirrored by the transfer agent	Thousands of tiny owners tracked for almost nothing. Transfers only between verified people, with caps checked automatically.
Buying the house	Off	Attorney closing, deed recorded at the county	Deed and closing statement hashes posted, so documents can't be swapped later.
Repair spending	On	**Treasury** multisig: steward must co-sign; large spends wait 7 days	No one can spend repair money alone. Every spend carries a memo and an invoice hash.
Rent collected	Off	PM collects in dollars	(Honest limit: code can't make a tenant pay.)
Monthly payout	On	**Distributor**.deposit(amount, reportHash) → claim()	Payouts split exactly by tokens at the same cost whether there are 10 or 10,000 owners. The report hash ties each payout to its expense report.
Votes and rules	On	**CommunityGovernor** + **RulesRegistry** (timelock)	Rent cap and reserve can't be changed quietly. Changes need a supermajority and a 30-day wait.
Rent history for credit	On	**Ethereum Attestation Service** on Base (new idea)	A tenant's on-time rent becomes a portable record they own and can show any lender.
Lessons and badges	On	**Badges** (non-transferable NFTs)	Proof of financial-literacy completion that follows the user.
Gas fees	On	Coinbase Paymaster	Users never need ETH. Cost to OwnTheBlock is fractions of a cent per transaction on Base (verify current costs).

Fixes to the spec's contract design

- **Raise:** in production it doesn't hold investor dollars. It records commitments and mints at closing. On testnet it can hold MockUSDC to demonstrate the full flow, labeled "in production, a regulated escrow bank holds the funds."
- **Treasury:** change "2 of 3 (manager, OwnTheBlock, steward)" to "steward signature always required." Or use 3-of-5 including 2 elected resident reps.
- **Admin powers:** list every admin power in the app (pause, register KYC, deposit, migrate). Put them behind a multisig with a public log. Pause can never block refunds or claims (already in the spec).
- **Cancel commitment:** add `Raise.cancel()` that works until 48 hours before the deadline.
- **Recovery and inheritance:** the transfer agent can reissue tokens to a recovered or inherited wallet after identity checks. That's allowed because the tokens are permissioned, and it's a key safety feature.

Money flow diagram



5. The people: every role and how residents get involved

Who	Role	What they get	What they risk / owe
Resident investor (Mr. Davis, Jasmine)	Buys tokens, votes, proposes projects	Monthly income, appreciation, a vote with a 1.5× resident bonus	Can lose money; locked 12 months
Alumni / outside investor (Dr. Owens)	Buys after local windows, within caps	Same returns and impact; standard vote	Same
Tenant (Tasha)	Rents the home	Capped rent increases, lease-purchase option, down-payment credit, credit reporting	Pays rent; normal tenant duties
Seller / heirs	Sells or contributes the house	Cash at appraisal, a buy-back right, or equity (Structures A/B/C)	Must clear title
Business owner (Marcus)	Raises revenue-share capital	Capital without giving up ownership or pledging their house	Shares 4–5% of revenue until the cap
Steward (neighborhood association, church, CDC, land trust)	Governance seat, co-signs spending, golden share on affordability	Mission control without owning or managing	Time; reputation
OwnTheBlock Inc.	Sponsor, LLC manager, app, deal vetting	Raise fee, rent fee, possibly asset fee and software licensing	Fiduciary duty to members; legal liability
Funding portal / broker-dealer	Hosts the Reg CF offering, compliance, escrow	Portal fee	Regulated by SEC/FINRA
Escrow bank	Holds investor money until the raise closes	Fee	—
Transfer agent	Official owner list (mirrors the chain)	Fee	SEC-registered
Closing attorney / title company	Title search, closing, deed recording	Fees	—
Appraiser, inspector, contractors	Value, condition, repairs	Fees (local hires first)	Licensed
Property manager	Leasing, rent, repairs, monthly report	8% of rent	Licensed NC broker
CPA	Financial review, tax returns, K-1s	Fees	—
First-loss partner (bank CRA, foundation, city)	Absorbs first 10% of losses	CRA credit or mission return	Their capital

How residents get involved (the community plan)

1. **Block captains:** one paid or stipended resident per block hosts meetings and helps neighbors sign up in person.
2. **Sign-up nights** at churches, barbershops and the A&T student union. Bring tablets so people can sign up on the spot. Do KYC in person for people uncomfortable doing it alone.
3. **Learn first:** the simulator and the "Money basics" track come before any investment. Partner with A&T's business school for student financial coaches.
4. **Pitch nights:** residents present ideas from the Pitch Board, and the top ideas go to due diligence.
5. **Auto-invest $10/month:** make small, steady investing the default habit.
6. **Spanish and accessibility** so every neighbor can participate.

6. How a property gets bought: six scenarios

In every case, **the buyer is the LLC**. People can't own part of a house directly, but they can own part of the LLC that owns it. Tokens are units of that LLC.

Scenario A: Paid-off house, owner wants to sell

1. Ms. Jenkins' neighbor (living) owns a house outright and wants to sell to the community instead of an investor.
2. Appraisal says $110k as-is. The purchase agreement is signed at $110k, contingent on the raise, with a 120-day close.
3. The raise covers price + closing + repairs + reserve + offering costs. At closing, the attorney pays any taxes owed, the seller gets the rest, and the deed goes to the LLC.

Timeline: 4–6 months. **Simplest case. Lead with this one.**

Scenario B: House with a mortgage

Same as A, except the attorney gets a **payoff letter** from the lender and pays the loan off at closing. The seller keeps the rest (their equity). If the seller owes more than the house is worth (a short sale), the lender must approve, which adds 2–4 months.

Scenario C: Bank-owned (foreclosure / REO)

The LLC makes an offer to the bank like any buyer. The problem: banks want fast cash closings, and a 90-day raise is slow. **Fix:** a **bridge fund** (first-loss partner or CDFI line of credit) buys quickly, then the raise refinances it within 6 months. Also ask about "first look" programs that give community buyers priority on foreclosed homes (verify local availability).

Scenario D: Heirs' property / eyesore (the Rescue the Eyesore case)

Structure	Family gets	Community gets	Example numbers
A. Sell	Cash at appraised as-is value (minus back taxes and liens)	The whole house	Buy $50k, repairs $35k + 15%, ARV $120k
B. Sell with buy-back	Cash now + right to buy back within 5 years at a preset price	Rental income or a sale	Preset price = cost + 4%/yr
C. Contribute for equity	About half the tokens, no cash needed	The rest of the tokens for funding repairs	Family 5,000 tokens; neighbors 4,500

Hurdles: every heir must sign (often the slowest step, sometimes over a year), back taxes come out of the price, vacant-property insurance is expensive, and repairs can overrun.

Fixes to present: partner with a legal aid clinic for heirs' property, and don't open the raise until title is clear. Under Structure C, the family's large stake gets a **Charter-approved exception** to the per-person cap, and its votes are capped at 25% on community decisions.

The fairness question: "If the community buys at $50k and sells at $120k, did you take the family's equity?" **Answer:** the $70k gap is mostly the $35–40k of repairs plus risk. The family gets the full as-is value and can choose B or C to share in the upside. Show all three side by side.

Scenario E: Land bank, city or tax-foreclosed property

Cities and counties often sell vacant or tax-foreclosed lots and houses at a discount to buyers who promise to fix and occupy them. The steward (city or CDC) brings the property in, gets a governance seat, and puts affordability in the deed. **This is the best pipeline for scale.** Ask the City of Greensboro what vacant-property programs it has.

Scenario F: House with a tenant already living there

The LLC buys with the tenant in place, so the lease carries over. The tenant gets the lease-purchase option on day one and isn't displaced. That's a strong anti-gentrification message.

What about borrowing (leverage)?

The spec says no leverage for users, which is right. At the **property** level, a loan covering 50–60% of the price (for example from a CDFI) would cut the raise in half and raise investor yield. It also adds the risk of losing the house in a bad year. **Recommendation:** no property debt in the pilot. Consider a modest CDFI loan once there's an operating track record.

7. Worked example: Jasmine buys a piece of a house

This uses the **recommended model** from Section 8: a distressed house bought below value, in a pooled fund that keeps paperwork costs low. Jasmine is the spec's 20-year-old A&T sophomore with $40 a month to spare.

Date	What happens	Jasmine's money	Chain
Dec 2026	Downloads the app, runs the simulator story mode, completes "Money basics" and "Safety." Signs up with phone number + Face ID. A wallet is created silently.	$0	—
Dec 2026	KYC: license photo + selfie. Enters zip 27411 and her ncat.edu email → Tier 2 (student).	$0	On IdentityRegistry.register (no personal data)
Jan 8, 2027	310 Demo Ct raise opens: $144,000 goal, 14,400 tokens at $10. Residents get days 1–7; Jasmine's window opens day 8.	—	—
Jan 15	Commits **$100 = 10 tokens** by debit card. The 24-hour cooling-off doesn't apply (it's exactly $100, not above). The app shows fees, her ownership share (0.069%) and risks.	$100 in the escrow bank	On Raise records commitment
Mar 31	Goal reached. Escrow releases to the LLC. 10 tokens are minted to her wallet.	10 tokens	On finalize + mint
Apr 30	Closing: the LLC buys the house for $90,000. The deed is recorded.	—	Both deed hash
May–Jul	Repairs in 3 draws, each with an invoice and photos.	—	On Treasury.spend ×3
Aug 1	A family moves in at $1,400/month with the lease-purchase option.	—	—
Sep 15	**First payout.** $700 net to investors ÷ 14,400 tokens = $0.0486 per token.	**+$0.49**	On deposit + claim
Each month	Same, with ups and downs (vacancy, repairs). Auto-reinvest is on.	~$0.49/mo, ~$5.83/yr	On
Mar 2028	12-month lockup ends. She can transfer to other verified members (through a registered platform once it's available).	—	—
2032 (year 5)	The tenant exercises the purchase option, or the community votes to sell. At 3% yearly growth, a token is worth ~$11.56 after selling costs.	Sale: **$115.60** + payouts ~$29 = **~$144.80**	On final distribution, tokens burned

Jasmine's result on $100: about $144.80 back over 5 years, an **~8.7% yearly return** (estimate, not a guarantee). If she also auto-invests her $40 a month at that return, she'd have about **$3,100** after 5 years from $2,500 put in, plus 6 lesson badges and a credit-building habit.

Downside: if the house is worth 10% less than expected, prices stay flat for 5 years and there are two vacant months, she'd get back about $117 (about 3% a year). If the value falls 25%, she roughly breaks even, and bigger shocks (an uninsured disaster, a long vacancy) mean a loss. Show these next to the base case.

The other personas, same house

Person	Puts in	Tokens	Monthly payout	Year 5 total back (est.)	Notes
Jasmine (student)	$100	10	$0.49	~$145	Tier 2
Mr. Davis (resident)	$500	50	$2.43	~$724	Tier 1; vote counts 1.5×
Dr. Owens (alumna, Atlanta)	$2,500	250	$12.15	~$3,620	Reg CF yearly limit applies (higher with higher income)
Tasha (tenant)	$0	—	—	$100/mo down-payment credit → $6,000 at year 5 + help with the down payment	Lease-purchase option at a preset price

8. The money: how profit is made and how long ROI takes

Where investors' returns come from

1. **Monthly rent income:** what's left after vacancy, management, reserve, taxes, insurance, admin and fees.
2. **Appreciation:** the house is worth more when sold, through the market rising or, mainly, the repairs adding value.
3. **Business repayments:** a share of revenue until the cap (Section 9).

Return of your original $10 mostly comes **at the exit**. Rent alone takes 15–28 years to pay back $10, so the exit plan is essential.

Sources and uses: three versions of one house

Line	Spec (as written)	Spec house, all real costs	Recommended: distressed house
Purchase price	$132,000	$132,000	$90,000
Closing costs (attorney, title, recording)	—	$2,600	$2,000
Renovation	$15,000	$15,000	$35,000
Renovation contingency (15%)	—	$2,250	$5,250
Starting reserve	$3,000	$3,110	$3,110
Legal + CPA review + escrow agent	—	$6,500	$5,760 (4%, pooled templates)
Portal fee (~5%)	—	$8,775	
OwnTheBlock raise fee	— (3% "paid by project")	$5,265 (3%)	$2,880 (2%)
Total raise	**$150,000**	**$175,500**	**$144,000**
Tokens at $10	15,000	17,550	14,400
House value after repairs	$147,000	$147,000	$150,000 (ARV)
Value per $10 token on day one	$10.00	**$8.55**	**$10.63**

Monthly income statement (rent $1,400)

Line	Spec	Real costs, one LLC per house	Real costs, pooled fund
Rent	$1,400	$1,400	$1,400

Vacancy allowance 5% (saved to reserve)	−$70	−$70	−$70
Property management 8%	−$112	−$112	−$112
Maintenance reserve 10%	−$140	−$140	−$140
Platform fee 2%	−$28	−$28	−$28
Property tax + landlord insurance (verify Guilford rates)	−$200	−$270	−$270
LLC admin: bookkeeping, tax returns, K-1s, Form C-AR, transfer agent	—	−$250	−$80
Paid to investors each month	**$850**	**$530**	**$700**

Return on investment: how long it takes

Model	Cash yield	Cash per $10 / yr	Rent-only payback	Even by (with sale)	Return 5 yr	Return 7 yr	Return 10 yr
Spec as written	6.8%	$0.68	14.7 yrs	Year 1	8.5%	8.7%	8.8%
Spec house, real costs	3.6%	$0.36	27.6 yrs	Year 4	2.3%	3.5%	4.3%
Spec house, pooled fund	4.8%	$0.48	20.9 yrs	Year 3	3.6%	4.7%	5.5%
Recommended: distressed + pooled	**5.8%**	**$0.58**	**17 yrs**	**Day one**	**8.7%**	**8.5%**	**8.3%**

All cases assume 3% yearly home-price growth and 6% selling costs. At 2% growth the recommended case drops by about 1 point. The yearly return is an IRR (internal rate of return): one number that counts both the monthly payouts and the sale.

How to say it to judges: "We don't promise getting rich from one token. A typical OwnTheBlock home is projected to return about 8% a year, roughly 6% in cash and the rest from fixing up a distressed house. Rent alone wouldn't pay you back for 17 years, which is why every project has a planned exit: the tenant buys the home, or the community sells it to a land trust. Buying homes at full retail price would only earn about 3.5% a year after real costs, so we don't."

Compared with alternatives (per $100 over 5 years, estimates)

Option	Value after 5 years	Risk	Can you get it back any time?
Cash under the mattress (3% inflation)	~$86 in today's dollars	Inflation	Yes
High-yield savings (4%)	~$122	Very low (FDIC)	Yes
Stock index fund (long-run ~7–10%, varies a lot)	~$140–160	Market swings	Yes
OwnTheBlock, recommended model	~$145	Single-property, business and legal risk	No (12-month lockup; limited resale)

Be honest: on pure return, OwnTheBlock is similar to an index fund with less liquidity. Its real advantages are **local ownership, a voice, tenant ownership paths and impact**. Say this before a judge does.

9. Business deals: fixing the barbershop terms

Spec: Marcus raises $25,000, pays 5% of monthly revenue ($200k a year) until investors get 1.4× ($35,000).

Terms	Monthly payment	Months to repay	Cost to Marcus (APR)	Investor return (after 2% fee)
Spec: 5%, 1.4× cap	$833	42	**~20%**	~20%
5%, 1.3× cap	$833	39	~17%	~16%
4%, 1.25× cap (recommended)	$667	47	**~12%**	~11%
Same, slow year (revenue −25%)	$500	63	~9%	~8%

Investor returns are before business failures. If about 1 in 10 deals fails partway, expected returns drop by a few points. The first-loss partner absorbs part of that.

Right comparison: merchant cash advances, not SBA loans

Businesses turned down by banks often take **merchant cash advances**, which commonly cost far more than 40% APR (verify with a source for your pitch). Against those, 12% with no collateral and payments that shrink in slow months is a strong offer. Against an SBA microloan (often around 8–13%), it's comparable but needs no personal guarantee or collateral. Make that the pitch.

Revenue verification (the cash-business problem)

- Require a **connected card terminal** (Square, Stripe or Clover) as a condition of funding. Revenue flows in automatically.
- For cash sales, require monthly bank deposit statements. Investors get a defined percentage of **bank deposits**, not self-reported numbers.
- Allow a payment pause of up to 2 months a year (counted against the cap), with a vote.
- Pair each deal with free bookkeeping help from A&T accounting students, which also counts as impact.

10. How OwnTheBlock itself makes money

Revenue line	Per home (recommended model)	Comment
Raise fee 2%	$2,880 once	Paid from the raise (investors see it in sources and uses)
Rent fee 2%	$336 / yr	Thin. The spec's growth model needed ~1,600 homes to cover a $45k/month team.
Optional 1% yearly asset fee	$1,440 / yr	Industry-standard, but it cuts investor yield by about 1 point
In-house property management	~$400 / yr margin	Conflict of interest; needs independent oversight
Software licensing (new)	$300–1,000 / month per partner	License the platform to land trusts, CDCs and cities. Doesn't touch resident returns.
Grants and program money (new)	Varies	Financial literacy, housing and HBCU-partnership grants fund the early years

Honest answer for judges: "Transaction fees alone don't support a company until we're managing a few hundred homes. Our pilot runs lean (about $10k a month), funded by grants and impact investors. Long term, revenue comes from licensing the platform to land trusts, CDCs and cities that already hold properties. That scales without charging residents more."

11. Judge question bank with answers

READY = you can answer now · FIX FIRST = the answer depends on a fix from Section 2.

Blockchain

1. Where's the blockchain? Is anything actually on-chain? FIX FIRST

Build the testnet contracts. Then: "Every buy, payout and vote you just saw is a real transaction on Base Sepolia. Here's the explorer link." Until then, say plainly that it's a simulator with formatted sample records and the contracts come next.

2. Why blockchain instead of a database? Portland's Community Investment Trust does this without one. READY

"A database works for one operator in one city. We want any neighborhood to run its own rules that even we can't change quietly: a rent cap with a 30-day timelock, caps checked on every transfer, payouts to 10,000 owners at the same cost as 10, and a public record anyone can audit. The CIT proves the demand. We make it cheap enough to copy in 100 communities."

3. You hold admin keys, register KYC and deposit the rent. Isn't this centralized? FIX FIRST

"Some parts must be: the law requires a responsible manager. We limit our power and make it visible. The steward co-signs every spend, the rules can't change without a vote and a timelock, we can't block refunds or claims, and every admin action is logged on-chain."

4. Base is run by Coinbase. Isn't that centralized too? READY

"Base settles to Ethereum, so the records are anchored on a public chain. We chose it for cheap fees, passkey wallets and Coinbase's onramp. The contracts could move to another network if needed."

5. What if USDC loses its peg or a contract is hacked? READY

"Investor money is in dollars at an escrow bank until closing, and the house is the real asset. USDC is only used for payouts, held for hours, not years. Contracts get a professional audit before real money, and pausing can never block refunds. USDC is now regulated under the GENIUS Act."

Legal

6. Is this legal? READY

"Yes, under existing rules: Regulation Crowdfunding through a registered portal, one LLC per property (or a pooled fund), KYC on every investor, the 12-month lockup enforced in code, and a securities attorney reviewing every offering."

7. Reg CF requires a bank escrow. Your smart contract can't hold funds. FIX FIRST

"Right. In production, dollars go to the portal's escrow bank. The contract records commitments and mints tokens when the raise closes. The testnet version holds test dollars only to demonstrate the flow."

8. Can the Neighborhood Fund use Reg CF? FIX FIRST

"Our fund owns homes directly, not other companies' securities, so it's a real estate company, not an investment company. Our attorney confirms the structure."

9. Is your marketplace an unregistered exchange? FIX FIRST

"There's no peer-to-peer trading in the pilot. After the lockup, resale goes through a registered trading platform. Until then, the fund offers limited buyback windows."

10. Do zip-code tiers and an HBCU tier break fair-housing or civil-rights law? READY

"Preferences are based on where you live and your local ties, never on race, and every Charter preset is reviewed by an attorney. Tier 2 is open to any student or alumnus regardless of school. The priority window is only 7 days, after which any verified U.S. investor can join. Tenant selection is done by the licensed manager under fair-housing law, not by investors."

11. Is a revenue-share note a loan under NC usury law? FIX FIRST

"Our attorney structures it as a revenue-share security, with payments that rise and fall with revenue and no fixed repayment schedule. The 1.25× cap keeps the effective cost around 12%."

12. Who sends the tax forms? A K-1 for $0.68? FIX FIRST

"The pooled fund means one tax form per investor per year, not one per house. We're evaluating a REIT structure with our CPA so investors get a simple 1099-DIV."

Money

13. $0.68 a year is nothing. Why bother? READY

"It's the starting point, not the pitch. Wealth stacks: $10 a month with auto-reinvest, a sale or tenant purchase at the end, lessons that change how you handle money, a credit-reporting rent history, and a voice on your block."

14. Your raise leaves out closing costs, legal and portal fees. FIX FIRST

Show the Section 8 table. "Full price would be ~3.5%. That's why we buy distressed homes below value: ~8.7%."

15. How long until I get my money back? READY

"In our model the house is worth more than the raise on day one because we buy below value. Cash comes monthly, and most of your money comes back at the exit, typically years 3–7, when the tenant buys or the community sells."

16. How does OwnTheBlock make money? Your own model needs 10 years to break even. READY
Use the Section 10 answer: a lean pilot, grants, then software licensing to land trusts, CDCs and cities.

17. The barbershop deal is a 20% loan. FIX FIRST
"We changed it to 4% of revenue with a 1.25× cap: about 12%, no collateral, and payments shrink in slow months. The alternative for most local shops is a merchant cash advance costing much more."

18. Barbershops are cash businesses. How do you verify revenue? READY
"Funding requires a connected card terminal plus monthly bank deposit statements. Payments are a share of verified deposits."

19. What happens if a business fails? READY
"Investors can lose the unpaid part. The first-loss partner covers the first 10%, the fund spreads it across many deals, and the simulator shows this openly."

20. Who's your first-loss partner? FIX FIRST
Name a target type, and ideally one organization you've contacted. "Banks get Community Reinvestment Act credit for exactly this."

21. Why would anyone choose this over an index fund? READY
"Returns are similar, but this one is on your block, you get a vote, your neighbor becomes a homeowner, and the dollars stay local. It complements an index fund rather than replacing it, and our lessons say so."

Community and housing

22. Affordable to whom? $1,400 isn't affordable on this block. FIX FIRST
"We measure against the neighborhood's own median income, not the metro area's. Each home's rent target is set in the Charter, and the rent cap holds increases to 3% a year. The lease-purchase option turns part of rent into a down payment."

23. Investors want rents up and a sale to the highest bidder. Whose side are you on? FIX FIRST
"The Charter settles it. Rent caps apply even between tenants, and the default exit is a sale to the tenant, a land trust or the community with a deed restriction. Investors get a fair return from fixing the eyesore, not from squeezing the tenant."

24. Will a neighbor-owned LLC evict a single mom? READY
"Only as a last resort. Our published policy is hardship fund, then payment plan, then mediation, with the steward involved. Investors never make tenant decisions. A licensed manager follows the law and the policy."

25. Rent-to-own: how long until Tasha owns? FIX FIRST

"Tasha gets an option to buy the home at a price set the day she moves in. $100 of each month's rent goes into a down-payment credit, about $6,000 by year 5, plus NC down-payment assistance. Her on-time rent builds credit through reporting."

26. Isn't Rescue the Eyesore just flipping? READY

"A flipper sells to the highest bidder and leaves. We pay the family full appraised value, give them buy-back or equity options, rent to a local family with capped rent, and the default exit keeps the home affordable. The value comes from the repair, not from pushing anyone out."

27. How do you stop outsiders taking over? READY

"Each neighborhood's Charter sets who can invest, per-person caps, a local-share floor and resident vote weight, and the token contract rejects any transfer that breaks them. Changing the Charter takes a supermajority and a 30-day wait." Show the Resident Owned preset (2% cap, 51% local floor).

28. Your own simulator assumes only 40% local investors. FIX FIRST

"That's our conservative estimate for open raises. A neighborhood that wants majority-local ownership turns on the 51% floor, and the raise simply takes longer."

29. Who are the "members" who vote? Can a renter with no tokens vote on my property? FIX FIRST

"Binding votes on a property are by its token holders, with residents weighted 1.5×. Non-holder residents get an advisory vote on Pitch Board projects and community rules."

30. Have you talked to real residents, owners or the city? FIX FIRST

Bring a number: "We surveyed __ residents; __% would invest $10 a month." Bring one letter of interest.

Operations and users

31. Lost phone? Death of an investor? READY

"Passkeys back up to iCloud or Google. If those are lost too, we recover through an identity check and the transfer agent reissues tokens. Investors name a beneficiary, and heirs claim through the same process."

32. What about unbanked residents or people without ID? READY

"Federal law requires identity checks for securities. We help in person at sign-up nights, partner with a credit union for a free account, and offer cash deposit at partner locations. Our lessons and simulator are free for everyone."

33. Who manages the property? Isn't it a conflict if it's you? READY

"A licensed independent manager in the pilot. If we manage in-house later, the steward reviews the books and members can vote to replace us."

34. Who finds and prices properties? READY

"Neighbors flag them, stewards bring them, and we vet them. A licensed appraiser sets the price, and we never pay above as-is value."

35. Heirs disagree or can't be found? READY

"No raise until title is clear. We partner with legal aid on heirs' property. It's the slowest step, and we say so."

36. What if repairs run over? READY

"15% contingency, staged payments with inspections, and a community vote if it goes beyond that. The simulator shows the overrun case."

37. Can I sell my tokens? READY

"Not for 12 months (federal rule). After that, through a registered trading platform when available, plus fund buyback windows. Treat it as a long-term investment."

Competition and scale

38. How are you different from RealT, Lofty, Arrived or Fundrise? READY

"They let anyone anywhere buy rental homes they'll never see. We let a neighborhood own itself: local-first access, resident votes, rent caps in code, tenant ownership paths and financial education. RealT shows what happens without local stewards: the City of Detroit sued it over neglected homes. Our steward and staged repairs exist to prevent exactly that."

39. Mainvest did revenue-share crowdfunding and shut down. Why will you survive? READY

"Revenue share is one product line, backed by the home portfolio, and we focus on one community at a time with stewards and first-loss partners. We also earn from software licensing, not only deal fees."

40. Why not partner with a land trust or CDFI? READY

"We do. They're our stewards and our software customers. We give them a way to raise $10 from neighbors, which they don't have today."

41. How do you scale to 100 HBCU communities? READY

"Deal supply limits growth, not money. So we grow through stewards (cities, land banks, HBCU foundations) who already have properties, using the same contract template and Charter presets."

42. "That's for the community to decide" sounds like dodging. READY

Use it once at most. For tenants, exits and affordability, give the default rule from this document, then add "and a community can choose stricter rules."

12. Comments on the spec, section by section

Section	Comment
Cover / "fully running"	It promises a testnet app. The current build is a simulator only, so either build it or change the claim.
§1 Problem	Add local sources: Greensboro investor-purchase share and East Greensboro homeownership rates. The 45% vs 74% gap is national. Cite the source on the slide.
§1 Solution 2	"Capped return (for example 1.4x)": change the example to 1.25×.
§2 Personas	Tasha's "path to a down payment" needs the lease-purchase redesign.
§2 Access tiers	Any .edu email qualifies, not just HBCUs. Decide whether that's intended.
§3.1 Onboarding	The investor quiz and KYC aren't in the app yet. A clickable mock is enough for the demo.
§3.3 Escrow	Must be a bank or broker-dealer under Reg CF. Add the 48-hour cancel right.
§3.5 Notification	"You earned $0.06" may feel small. Show the cumulative total and the progress toward the exit value.
§3.6 Governance	Define "member." Quadratic voting needs identity-linked balances, and it should say so.
§3.7 Rewards	Fee discount conflicts with §6.8.
§3.9 Rent-to-own	Funding source breaks the platform fee or the reserve rule. Replace it.
§3.11 Marketplace	Needs a registered trading platform partner.
§3.13 Eyesore	Make this the core model. Add the fairness explanation for the as-is vs ARV gap.
§3.13 Structure C	53% family stake conflicts with caps and the local floor. Add an explicit exception rule.
§3.14 Charter	"Per-wallet cap" in the presets table vs "caps per identity" in the text: use per identity.
§3.15 Stewards	Good. Make the steward a required Treasury signer.
§4.4 Story step 4	"500 neighbors × $10" doesn't fund $150k (already fixed in the app).
§5.3 Impact	"Homes kept affordable" at 30% of AMI is too easy to pass. Use neighborhood income.
§6.1	Add closing, offering, legal, CPA and admin costs. Taxes + insurance of $200 may be low.
§6.2	~20% APR. Use 4% / 1.25×.
§6.3 Fund	Change to direct ownership of homes (investment company issue).
§6.5	Replace with lease-purchase credit.
§6.8	The 3% raise fee isn't in sources and uses. Add licensing and grants as revenue.
§7 Treasury	2-of-3 lets the manager and OwnTheBlock act without the community. Require the steward.
§7 Raise	Commitments-and-mint design for production. Add cancel().
§9.1	Add: registered transfer agent, Form C-AR yearly, CPA review threshold, investment company exclusion.

§9.4	10% non-resident cap conflicts with the 2% Charter example. Clarify that the Charter overrides the default.
§11.4	Answers are good but too short. Use Section 11 of this playbook.
§11.5	"You don't have to answer every scenario": use sparingly with judges.

13. Brainstorm: ways to make it better

Ranked by how much each idea strengthens the pitch for the effort.

1. One Block Fund LLC that owns homes directly high impact

Instead of one LLC per house plus a fund that holds their tokens, form one fund LLC per neighborhood that owns every house directly. Investors can still "back" a specific house through an earmark, or each house can be a series.

Solves: the investment company problem, the K-1 cost (one form per investor), admin costs ($250 → $80 a month per house) and single-house risk.

Trade-off: it feels less like "I own 1204 Sample St." Fix that with the earmark and photos.

2. Make Rescue the Eyesore the main model high impact

Buying below repaired value is what makes the numbers work: ~8.7% instead of ~3.5%. It's also the best story: the boarded-up house next to Ms. Jenkins. Rename the pitch around it, e.g. "Fix the block, own the block."

3. Real testnet contracts with a judge-proof demo high impact

Coinbase Smart Wallet (passkey) + paymaster + MockUSDC + Raise + Distributor on Base Sepolia. Let a judge scan a QR code, get test dollars, buy 1 token and see it on the explorer in under 60 seconds.

4. Lease-purchase instead of 2% tokens high impact

- At move-in, the tenant gets an option to buy at today's appraisal + 3% a year, exercisable in years 3–7.
- $100 of each month's rent goes into a down-payment credit (counted as an operating cost: it lowers investor yield by about 0.8 points).
- Stack it with NC Housing Finance Agency down-payment assistance and rent reporting to credit bureaus.
- **Why it's better:** a real path to ownership in 3–5 years (not 88), and the tenant buying out the investors gives investors a planned exit.

5. Rent history as a portable credential medium-high

Record each on-time payment as an attestation on Base through the Ethereum Attestation Service (EAS). The tenant owns a verifiable rent record they can show any lender. It's a blockchain use a database can't easily copy, and it fits "build credit."

6. First-loss capital from banks, foundations and HBCUs medium-high

Banks must invest in low- and moderate-income communities under the Community Reinvestment Act. A bank putting $50k of first-loss capital behind resident investors is a clean, believable story. Also: foundation impact investments, city housing funds, HBCU endowment impact allocations.

7. Software licensing to land trusts, CDCs and cities medium-high

The business model fix. These groups already own properties but can't take $10 investments from residents. OwnTheBlock becomes their engine, revenue doesn't come from residents, and it scales through partners.

8. $10-a-month auto-invest and round-ups medium

Turns $0.68 into a habit. Show the 5-year projection for $10, $25 and $40 a month in the app.

9. Validation you can put on a slide medium

- A 10-question survey of 50+ residents and students: would you invest $10? What worries you?
- One letter of interest from a homeowner or heir family and one from a business owner.
- A meeting request to a local neighborhood group, an A&T real estate or business program, or the city's housing department.

10. Permanent affordability through a land trust partnership medium

A community land trust owns the land and investors own the building. Resale prices are limited, so homes stay affordable forever. It's a strong answer to "aren't you just speeding up gentrification?"

11. Demo polish quick wins

- Rename streets: "Sample St" → a believable fictional name.
- An honest-numbers toggle in the simulator: "Spec / Real costs / Distressed."
- A Charter screen showing the three presets and a rejected transfer ("blocked: would exceed 2% cap").
- A governance proposal screen with a live vote.
- Spanish on the welcome and invest screens.
- A Cancel commitment button and a sources-and-uses table on every project page.

12. Safety-first investing medium

Before a first investment, ask "Do you have $500 saved for emergencies?" If not, suggest a savings goal first. That fits the education mission and protects the most vulnerable users.

13. Bridge fund for fast purchases later

A small pool (from first-loss partners) buys foreclosures and tax-sale homes quickly, and the community raise refinances it within 6 months. It opens up the cheapest homes.

14. Roadmap to fully functioning

Two tracks run side by side: the **build track** (a working testnet app for the competition) and the **real-world track** (the pilot with real money).

Build track: about 6 weeks

Week	Build	Done when
1	**Fix the numbers.** Add full sources and uses and the distressed-home case to `lib/finance` and `lib/demo.ts`. Compute fund NAV. Remove fixed impact numbers. Business terms 4% / 1.25×. Replace rent-to-own with lease-purchase. Rename streets. **Deploy to Vercel.**	Tests updated and passing; public URL works on a phone
2	**Contracts (Milestone 3, core).** Foundry project in `contracts/`: MockUSDC (faucet), IdentityRegistry, AssetToken (permissioned + lockup + caps), Raise (commit, cancel, finalize, refund), Distributor (deposit with report hash, claim).	Foundry tests + fuzz test "claims ≤ deposits" pass
3	**Deploy + governance contracts.** Deploy to Base Sepolia and verify source. Add RulesRegistry (timelock), CommunityGovernor, Treasury (steward required). Script the full lifecycle: register → raise → finalize → deposit → claim → vote.	Addresses in README; lifecycle script runs
4	**Wallet + live mode (Milestone 4).** OnchainKit with Coinbase Smart Wallet (passkey), paymaster, "Get test dollars," real invest and claim behind the same `lib/world` actions. "Live testnet" toggle with real explorer links.	A new user on a phone signs up, invests $10 and claims, with no gas prompt
5	**Transparency + community (Milestone 5).** Money Trail links to real transactions and document hashes, Charter screen with a rejected-transfer demo, proposal + vote screen, EAS rent attestation demo, badges.	Every Money Trail step links to a transaction or document
6	**Polish + rehearse.** Spanish for key screens, accessibility pass, Playwright run on a phone-sized screen, pitch deck, 3 full demo run-throughs.	Demo runs start to finish 3 times with no errors

Real-world track: pilot (about 12–18 months)

When	Milestone
Months 0–3	Form the public benefit corporation. Engage a securities attorney (or a law school clinic). Talk to 2–3 funding portals and a transfer agent. Resident survey and block meetings. Recruit a steward. Apply for grants and pitch competitions.
Months 3–6	Fund LLC and Charter template finished. First-loss partner letter. Source the first distressed home with a steward (city program or heirs' family). Title, appraisal, bids.
Months 6–9	Form C filed. Raise opens with local-first windows. Sign-up nights. Contracts audited and deployed to Base mainnet (only after audit).
Months 9–12	Close, renovate in stages, lease up with lease-purchase option.
Months 12–18	First payouts. First quarterly transparency report. Second home + first business deal. Publish impact results.

15. Pre-competition checklist

✓	Item
☐	App deployed to a public URL; QR code on the title slide
☐	At least one real Base Sepolia transaction shown live (buy and claim)
☐	Honest returns slide: full price ~3.5% vs distressed ~8.7%
☐	Sources-and-uses table for the example house
☐	Jasmine's $100 timeline (Section 7) as one slide
☐	Lease-purchase replaces 2% tenant tokens everywhere (app, deck, spec)
☐	Business terms changed to 4% / 1.25×; merchant cash advance comparison
☐	Legal slide: bank escrow, transfer agent, fund owns homes directly, no peer-to-peer trading in the pilot
☐	Treasury: steward signature required
☐	One piece of real validation (survey results, an LOI or a partner meeting)
☐	Placeholder street names replaced
☐	Every FIX FIRST question in Section 11 now has an answer
☐	Rehearsed the five toughest questions out loud: #1, #2, #14, #23, #25
☐	All "verify" numbers checked (Reg CF thresholds, Guilford tax rate, insurance, portal fees)

16. Glossary

Term	Plain-English meaning
LLC	Limited liability company. The legal owner of the house. Investors own units of it (tokens).
Token	A digital record of one LLC unit, kept on the blockchain. $10 each.
Reg CF	Regulation Crowdfunding: the federal rule that lets ordinary people invest small amounts in private companies through a registered portal.
Form C / Form C-AR	The offering document filed with the SEC / the yearly update afterward.
Funding portal	An SEC- and FINRA-registered website that hosts Reg CF offerings.
Transfer agent	A registered company that keeps the official list of who owns the securities.
Escrow	Money held by a neutral party until a condition is met (here: the raise goal).
ARV	After-repair value: what the house will be worth once fixed.
Cash yield	Yearly cash payouts ÷ amount invested.
IRR / yearly return	One yearly percentage that counts both the monthly payouts and the final sale.
NAV	Net asset value: what each fund token is worth = (cash + holdings) ÷ tokens.
Revenue share / cap	The business pays a % of sales until investors receive a set multiple (e.g. 1.25×).
First-loss partner	An organization that agrees to absorb the first losses, protecting small investors.
Steward	A trusted local organization with a governance seat and veto over affordability rules.
Charter	Each neighborhood's rules (who invests, caps, votes, rent cap), enforced by smart contracts.
Multisig	A wallet that needs several people to sign before money moves.
Timelock	A forced waiting period before a rule change takes effect.
Paymaster	A service that pays blockchain fees for the user.
USDC	A regulated digital dollar (stablecoin) worth $1.
Base / Base Sepolia	Coinbase's low-cost blockchain network / its free test version.
EAS	Ethereum Attestation Service: a standard way to record verifiable statements (like "rent paid on time") on-chain.
CRA	Community Reinvestment Act: a federal law that requires banks to invest in low- and moderate-income communities.
ATS	Alternative trading system: a registered platform where private securities can be resold legally.
K-1 / 1099-DIV	Tax forms investors receive from a partnership / from a corporation or REIT.

Figures are planning estimates computed from the spec's inputs plus the stated assumptions. They aren't legal, tax or investment advice. Verify with a securities attorney and a CPA before using real money.